TRANSACTION COST CATEGORIZATION

Financial transaction costs are comprised of fixed and variable components and are either visible or hidden (non-transparent).

Fixed cost components are those costs that are not dependent upon the implementation strategy and cannot be managed or reduced during implementation. Variable cost components, on the other hand, vary during implementation of the investment decision and are a function of the underlying implementation strategy. Variable cost components make up the majority of total transaction costs. Money managers, traders, and brokers can add considerable value to the implementation process simply by controlling these variable components in a manner consistent with the overall investment objective of the fund.

Visible or transparent costs are those costs whose fee structure is known in advance. For example, visible costs may be stated as a percentage of traded value, as a $/share cost applied to total volume traded, or even as some percentage of realized trading profit. Visible cost components are primarily attributable to commissions, fees, spreads, and taxes. Hidden or non-transparent transaction costs are those costs whose fee structure is unknown. For example, the exact cost for a large block order will not be known until after the transaction has been completed (if executed via agency) or until after the bid has been requested (if principal bid). The cost structures for these hidden components are typically estimated using statistical models. For example, market impact costs are often estimated via non-linear regression estimation.

Non-transparent transaction costs comprise the greatest portion of total transaction cost and provide the greatest potential for performance enhancement. Traders and/or algorithms need to be especially conscious of these components in order to add value to the implementation process. If they are not properly controlled they can cause superior investment opportunities to become only marginally profitable and/or profitable opportunities to turn bad. Table 3.1 illustrates our Unbundled Transaction Costs categories. Table 3.2 illustrates our Transaction Cost classification.

TRANSACTION COST ANALYSIS

Transaction cost analysis (TCA) is the investor's tool to achieve best execution. It consists of pre-trade, intraday, and post-trade analysis.

Pre-trade analysis occurs prior to the commencement of trading. It consists of forecasting price appreciation, market impact and timing risk for the